

Koinage Engineering (PTY) LTD — 2025 Annual Financial Statements

Registration Number: 2019/364748/07 | Year ended 31 December 2025

Dear Jonathan,

Please find attached the **final** supporting documentation for the 2025 Annual Financial Statements of **Koinage Engineering (PTY) LTD**. Below are key points and notes for your attention.

1. Cash and Cash Equivalents

The cash and cash equivalent balances have been **derived directly from the bank statements**:

- **FNB Business Account (ZAR) — 1112: R80,629.32**
- **FNB CFC Business Account (USD) — 1114: R9,399,783.39**
- **Short-term Investments (Call Deposits) — 1440: R6,400,000.00**
- **Total Cash and Cash Equivalents: R15,880,412.71**

Note on the USD Account (1114): The USD account has been reconciled up to and including the **October 2025 bank statements**. The November and December 2025 statements are still outstanding from the bank. The closing balance of R9,399,783.39 reflects the reconciled position as at the last available statement, with subsequent entries posted per the accounting records.

2. Loan from Shareholders (2530)

The closing balance on the Shareholders Loan account is **R6,808,766.01** (2024: R1,633,557).

The movement during the year includes an amount of approximately **R3,324,975** received from the USD account. This amount was **funded by the shareholders** through the foreign currency account and has been classified as part of the loan from shareholders accordingly.

The shareholders loan increased from R1,633,557 (2024) to R6,808,766 (2025), representing additional funding injected into the business during the 2025 financial year to support operational requirements.

3. Trade Creditors (2111)

The trade creditors balance at year-end is **Rnil** (2024: R181,463).

The shareholder loan advances received during the year were utilised, among other things, to **clear the trade creditors balance in full**. This is consistent with the entity's practice whereby shareholder funding is applied to settle outstanding trade payables as and when they fall due. The logic of clearing creditors from loan funds has been applied consistently.

4. QuickBooks System Errors — Acknowledgement

During the preparation of the 2025 financial statements, we discovered **material system errors within the QuickBooks accounting platform** that had affected the integrity of the 2024 records. These errors were not apparent during the initial 2024 year-end process as they were hidden within the system's internal processing.

We have since raised these issues directly with **Intuit (QuickBooks)**, who have **acknowledged the errors** and have confirmed that they are currently working on resolving them. As a consequence of these system-level issues, we took the decision to **recapture the accounting records from scratch** onto a new, reliable platform to ensure data integrity and to prevent any recurrence of these errors going forward.

Impact: The QuickBooks system errors contributed to the misstatements identified in the 2024 comparative figures. The full recapture exercise has been completed and all 2025 figures presented herein are accurate and verified.

5. 2024 Comparative Figures (Restated)

As previously communicated, the 2024 comparative figures have been **restated**:

- Revenue reduced by R563,724 to correct misclassified receipts originally recorded as "Sales - retail" in QuickBooks.
- 2024 was the entity's first year of trading — all opening balances were nil.
- Restated 2024 Net Profit: **R2,627,046** (equals closing Retained Earnings, confirming the correction).
- Corrections applied in accordance with **IFRS for SMEs Section 10.19** (Prior Period Errors).

The previously issued 2024 AFS contained material misstatements which have now been corrected in the comparatives. It should be noted that the **restated 2024 figures will not affect the current proceedings with SARS**, as the dispute case currently in progress relates to a separate matter and the restatement does not alter the tax position under dispute.

6. 2025 Performance Summary & Tax Commentary

- **Revenue: R33,468,048**
- **Cost of Sales: (R29,012,130)** — 86.7% of revenue
- **Gross Profit: R4,455,918** (13.3% margin)
- **Operating Expenses: (R400,562)**
- **Net Profit: R4,055,356** (12.1% margin)

The entity generated substantial revenue during the 2025 financial year. It is important to note that the **majority of income was absorbed by cost of sales** (86.7% of revenue), which is consistent with the nature of an engineering and contracting business where direct project costs constitute the bulk of expenditure. This explains the relatively high profit figure — the entity maintained **lean operating expenses** (only R400,562), demonstrating disciplined cost management.

Furthermore, rather than deploying surplus cash into discretionary expenditure, management has adopted the prudent approach of **retaining funds as liquid cash and short-term investments** (R6,400,000 in call deposits and R9,480,413 in bank accounts). This is regarded as **good financial practice**, ensuring the entity maintains a strong liquidity position and is well-placed to meet future obligations.

7. SARS Compliance & Recommended Payment Arrangement

The entity is **currently compliant** with all SARS filing obligations, pending the outcome of the **dispute case** that is presently being adjudicated by SARS.

With respect to the 2025 tax liability arising from the profit for the year, we note the following:

- The tax assessment for the 2025 year of assessment is **only due in January 2027** (being the first provisional tax payment date for the following cycle).
- Given the quantum of the liability, we **recommend that a payment arrangement be negotiated with SARS** to settle the amount over a **12-month period**, thereby managing cash flow while remaining in good standing.
- We will assist in the preparation and submission of the payment arrangement application at the appropriate time.

Current Status: The entity is tax compliant. The SARS dispute case is being handled separately and the 2024 restatement does not impact those proceedings. The 2025 tax obligation provides sufficient lead time to arrange structured settlement terms.

Attachments:

- Trial Balance — Year ended 31 December 2025 (PDF)
- Trial Balance — Year ended 31 December 2025 (Excel)
- General Ledger — Year ended 31 December 2025 (PDF)
- Annual Financial Statements — Final

Please do not hesitate to contact me should you require any further information, clarification, or supporting documentation.

Following the completion and delivery of this work, we kindly request the **settlement of the remaining invoice balance** at your earliest convenience. We trust you will find the above in order and look forward to your continued partnership.

Kind regards,

Sibusiso Mavuso

Partner

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